

HARBOURNE RETAIL GROUP

Capital Project Appraisal

15 Urban Convenience Store Expansion

Management Presentation | June 2026 | Confidential

Executive Summary

Investment recommendation for Board approval

Proposal to invest £6.75m in 15 new urban convenience stores across England

Base case NPV of ~£9.2m and IRR of ~28%, well above the 8% hurdle rate

Payback period of 4 to 5 years under base case assumptions

Downside case still returns marginally positive NPV over 10 years

Recommendation: approve with phased rollout (5 stores first, then remaining 10)

£6.75m

Total Investment

~£9.2m

Base Case NPV

~28%

Base Case IRR

~4.5 yrs

Payback

Strategic Rationale

Why urban convenience, why now

UK convenience market growing steadily, driven by smaller households and top-up shopping behaviour

Urban locations offer higher footfall and stronger like-for-like growth than suburban sites

Existing urban stores in the Harbourn portfolio outperform on basket frequency

Scale benefits from supplier rebates and distribution efficiencies across a larger network

Self-contained investment with no required changes to distribution or head office

Competitive pressure from discounters and quick-commerce platforms is real but manageable

Harbourn's site selection track record supports confidence in location quality

Convenience format is resilient in economic downturns (essential grocery spend)

No terminal value assumed, providing conservative baseline for returns

Investment Overview

Capital structure and project parameters

15 stores across urban English locations

Capex per store: £450,000 (base case)

Total programme cost: £6.75 million

Fit-out covers refrigeration, shelving, POS, IT, and signage

Rolling openings through Year 1 (75% ramp factor)

10-year commercial leases, straight-line depreciation

No terminal or residual value in model

15

Stores

£450k

Capex / Store

£6.75m

Total Capex

8.0%

WACC

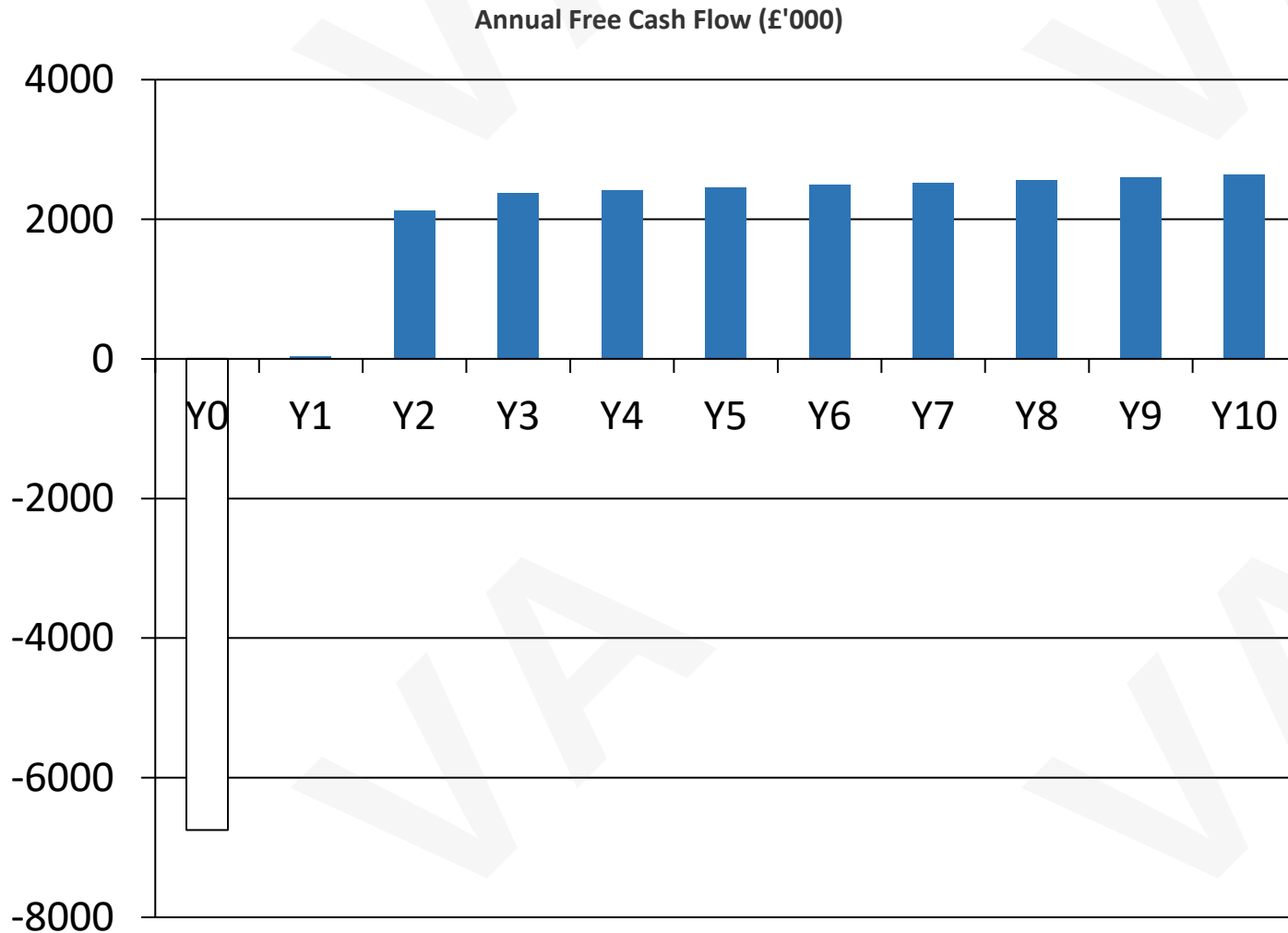
Key Assumptions

Three scenarios tested across revenue, cost, and capital inputs

Assumption	Base Case	Upside	Downside
Revenue / Store (£'000 p.a.)	1,800	2,100	1,600
Year 1 Ramp Factor	75%	80%	70%
Revenue Growth	3.0%	5.0%	1.5%
COGS (% of Revenue)	72%	70%	73%
Staff Cost / Store (£'000)	180	170	190
Rent / Store (£'000)	85	80	90
Capex / Store (£'000)	450	400	500
Corporation Tax	25%	25%	25%
WACC	8%	8%	8%

Base Case Financial Results

Annual free cash flow profile over 10-year horizon



~£9.2m

Net Present Value

~28%

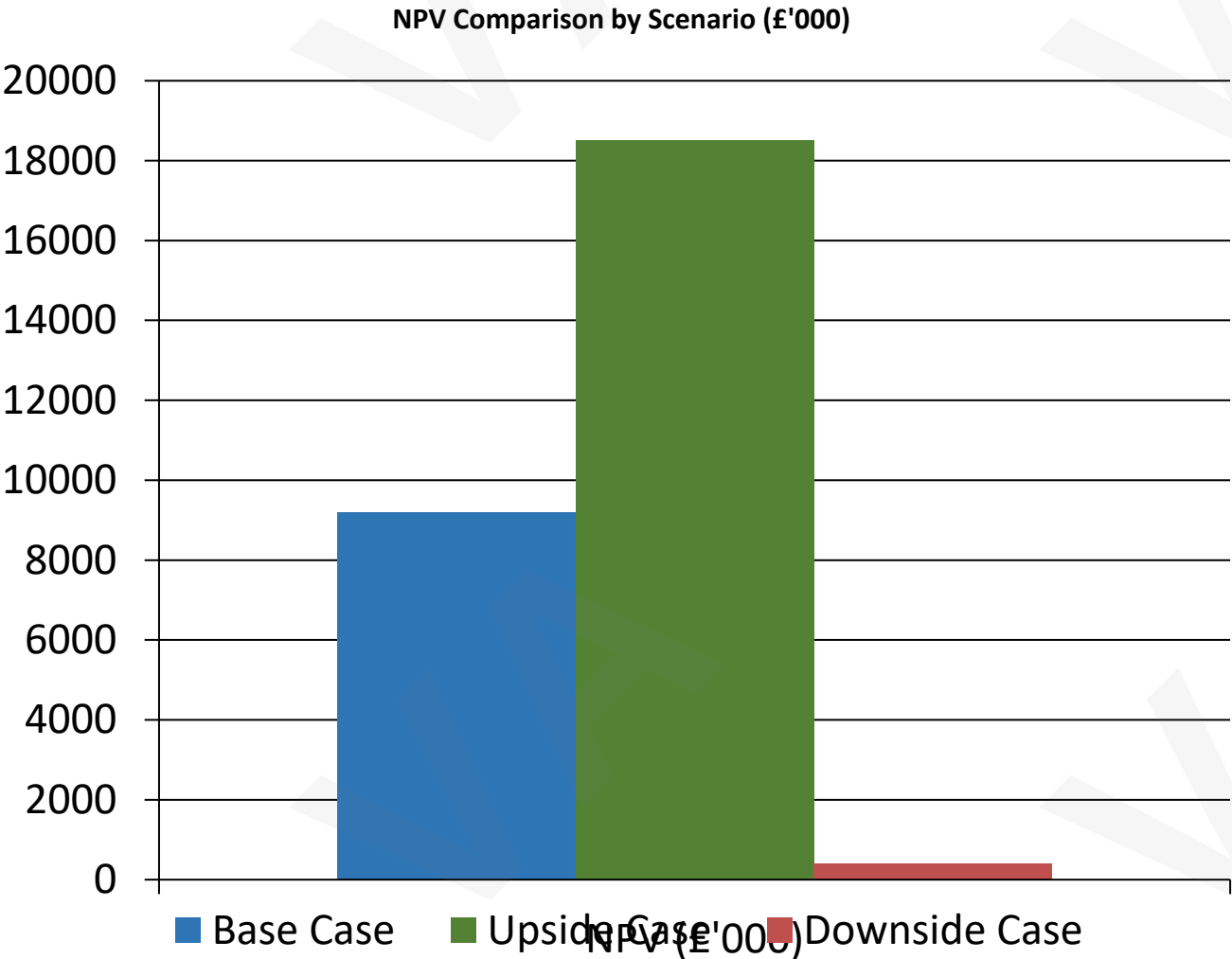
Internal Rate of Return

~4.5 years

Payback Period

Scenario Comparison

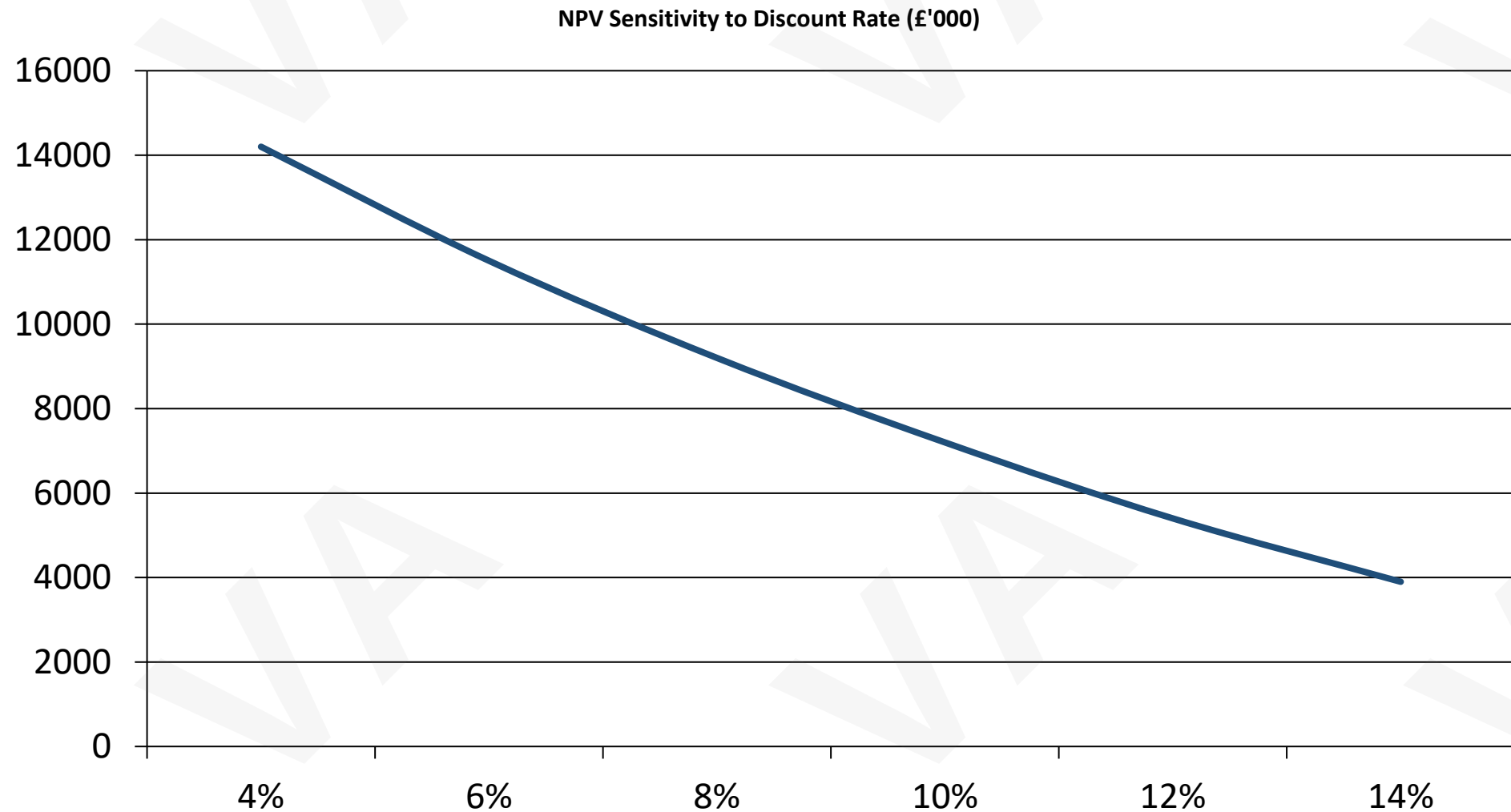
NPV, IRR, and payback across three cases



	Base	Upside	Downside
NPV (£m)	~9.2	~18.5	~0.4
IRR	~28%	~42%	~9%
Payback	~4.5 yrs	~2.2 yrs	~7.5 yrs

NPV Sensitivity Analysis

Base case NPV at varying discount rates



Key Risks

Factors that could affect project returns

Location risk. Poor site selection is the single largest threat to returns. The model is highly sensitive to revenue per store, which is driven almost entirely by catchment quality.

Competitive risk. Discounters and quick-commerce platforms are expanding into urban convenience. A new competitor opening nearby within Year 1 could significantly reduce footfall.

Cost overrun risk. Fit-out costs have been volatile. A sharp increase in construction or materials costs would push capex above the downside case assumption.

Macroeconomic risk. A recession would reduce discretionary convenience spend (prepared food, premium lines) and compress the already tight EBITDA margin.

Staffing risk. Urban labour markets are tight. Persistent vacancies could force higher wage offers or reduced trading hours, both of which affect revenue.

Planning and regulatory risk. Planning consent in urban areas is not guaranteed. Delays or conditions (restricted trading hours) could affect the opening schedule and Year 1 ramp.

Recommendation

Phased approval for the 15-store programme

The base case delivers compelling returns (NPV ~£9.2m, IRR ~28%) well above the cost of capital. Even under pessimistic assumptions, the project returns marginally positive NPV. We recommend approval with a phased rollout to manage risk.

PHASE 1

Open 5 stores in strongest available locations

Capital commitment: ~£2.25m

Monitor trading performance for 6 to 9 months

Validate revenue and cost assumptions against real data



PHASE 2 (Conditional)

Roll out remaining 10 stores if Phase 1 meets base case

Capital commitment: ~£4.5m

Adjust assumptions based on Phase 1 trading data

Reassess if Phase 1 underperforms base case materially